Notes: Oyer (JF, 2008)

The Making of an Investment Banker: Stock Market Shocks, Career Choice, and Lifetime Income

Contents

1 Big picture

- **Question.** Are investment bankers “born” to work on Wall Street because of fixed skills and preferences, or are they “made” by market conditions and early career opportunities?
- **Main empirical setting.** The paper studies Stanford Graduate School of Business MBA alumni using a mail survey conducted in 1996 and 1998, combined with financial market conditions around graduation and independent placement data from Stanford and Wharton.
- **Core shock.** Stock market conditions during business school, especially the two-year S&P 500 return through June of the graduation year, shift whether MBA students start in investment banking.
- **Main first-stage result.** Higher stock returns while students are in school substantially increase the probability that Stanford MBAs take an investment banking job immediately after graduation.
- **Career persistence result.** Starting in investment banking makes graduates much more likely to work in investment banking later in their careers.
- **Instrumental-variables logic.** The paper instruments initial investment banking placement using stock market conditions while in school, arguing that these shocks are plausibly outside individual control after MBA enrollment decisions.
- **Income result.** The investment banking wage premium is large. Depending on the comparison group and discount rate, estimated lifetime income differences can range from roughly \$1.4 million to over \$5 million.
- **Interpretation.** The evidence supports the “investment bankers are made” view: market conditions affect entry, entry affects career persistence, and the pay premium looks more like a compensating differential plus finance-specific human capital than a pure fixed-skill premium.
- **Policy/life-cycle implication.** MBA students exposed to financial market shocks bear labor-income risk that is correlated with stock market performance. Students who want finance careers may be able to hedge some human-capital risk by shorting the market while in school.

2 Incremental contribution of the paper

- **Moves finance labor-market study from anecdotes to causal evidence.** Before this paper, the idea that Wall Street booms pulled MBAs into investment banking was intuitive and often described in the business press. The paper converts that intuition into an empirical research design using MBA placement histories and market shocks.
- **Links financial market shocks to human capital formation.** Prior research on market shocks focused heavily on investors’ wealth. This paper shows that market shocks also affect future labor income by changing early-career industry choice and industry-specific human capital.
- **Extends cohort-effects literature to elite finance careers.** Cohort effects had been studied in broad labor markets and firms. This paper applies the logic to a high-skill, high-pay sector and shows that macro-financial conditions at graduation shape long-term careers.
- **Distinguishes selection from career stickiness.** By using market conditions at graduation as instruments for initial job placement, the paper separates the effect of starting on Wall Street from the unobserved traits that make some people more likely to choose Wall Street.
- **Quantifies lifetime income implications.** The paper does not stop at job transition probabilities. It uses wage profiles and career persistence estimates to quantify the present value of being pushed into or out of investment banking by market timing.
- **Provides evidence against a pure “bankers are born” model.** The data show that bull-market entrants are not less attached to Wall Street later, and are not obviously less prepared. This pattern is inconsistent with a story in which only a fixed elite type belongs in banking and bull markets merely admit low-fit entrants.

- **Introduces a labor-income hedging insight for students.** The paper's final implication is novel: students' future labor income is exposed to market conditions during school, so desired finance-sector workers might hedge their human capital risk.

3 Data and measurement

3.1 Stanford MBA alumni survey

The core data come from a mail-based survey of Stanford Graduate School of Business alumni. The survey was conducted in 1996 and 1998 with a response rate of about 40%. Respondents report detailed job histories, including pre-MBA jobs, the first job after graduation, subsequent annual jobs, salary ranges, industry, sector, ownership/founder status, firm size, demographics, and graduation year.

- The paper uses classes graduating from 1960–1995.
- The data are converted into person-year job histories measured at the end of January each year.
- Jobs with less than half-time work are dropped.
- If a respondent reports simultaneous jobs, the job with the larger fraction of full-time work is used.
- Investment banking is defined broadly to include investment banking, investment management, money management, and venture capital.

Interpretation: The survey is powerful because it provides career histories, not just first jobs. It also contains pre-MBA work experience, which is crucial for testing whether Wall Street entrants in booms are different from entrants in busts.

3.2 Main samples

- **Table I total sample:** 62,115 post-graduation person-year observations.
- **First-job sample:** 3,782 first-post-MBA job observations.
- **Survey-job sample:** 3,886 job observations at the survey date.
- **Investment banking person-years:** 8,844 observations.
- **Initial-placement regressions:** around 3,547 people in the full Stanford sample.
- **Wage-profile calculation:** 2,598 survey respondents with sector and years-since-graduation salary information.

Interpretation: The paper uses the same underlying alumni panel in several ways: first-job analysis, long-term occupation analysis, and wage-profile calculations. This matters because the causal estimates and income estimates are built from different slices of the data.

3.3 Financial-market shock measures

The main market variable is the two-year S&P 500 return ending in June of the MBA graduation year. For example, the 1990 class is assigned the return from July 1988 through June 1990.

Other market measures include:

- log real M&A volume in the calendar year before graduation;
- two-year stock market volatility based on daily S&P 500 returns;

- percentage change in S&P 500 trading volume from the prior calendar year;
- Wharton investment banking placement share, measured as the fraction of Wharton MBA graduates entering investment banking in the same year.

Interpretation: The S&P return is the cleanest shock because it is largely realized after students decide to attend Stanford. M&A, volatility, and volume capture other financial-sector demand conditions. The Wharton placement measure serves as an external validation of market-wide finance recruiting conditions.

3.4 Outcome variables

The paper studies three classes of outcomes:

1. **Initial placement:** whether the graduate's first post-MBA January job is in investment banking.
2. **Long-term job location:** whether the graduate works in investment banking in later person-years, starting at least 2.5 years after graduation.
3. **Income:** salary by sector and years since graduation, used to construct wage profiles and present-value income differences.

Interpretation: The paper's causal chain is sequential: market conditions affect initial placement; initial placement affects later occupation; later occupation and sector wage profiles determine lifetime income effects.

4 Models and empirical specifications

4.1 Two-sector career-choice framework

The theoretical framework compares investment banking, denoted f, to a general sector, denoted g. A graduating MBA starts in investment banking if

$$u_f(w_0^f) > u_g(w_0^g),$$

where $u_f(\cdot)$ and $u_g(\cdot)$ include both expected income streams and nonpecuniary aspects of work.

Interpretation: A bull market increases expected investment banking utility by raising labor demand and expected pay. The marginal graduate may therefore switch into banking in good markets.

4.2 Born versus made models

Investment bankers are born. In this model, some people are intrinsically well matched to banking. Bull markets may attract marginal low-fit entrants, but over time those entrants leave. This predicts weaker long-run attachment among bull-market entrants.

Investment bankers are made. In this model, many MBAs could succeed in banking. Bull-market entry gives them finance-specific human capital, networks, and career habits. This predicts that bull-market entrants remain attached to finance and are not obviously worse matched.

Interpretation: The key empirical test is not just whether bull markets increase entry. Both models predict that. The key test is whether bull-market entrants have weaker long-term attachment. They do not.

4.3 Initial placement regression

A simplified version of the initial placement equation is

$$F_i^0 = \alpha\theta_t + X_i'\beta + \varepsilon_i,$$

where F_i^0 indicates whether graduate i starts in investment banking, θ_t is a market condition for graduation year t, and X_i includes demographics, graduation-year controls, and pre-MBA investment banking experience.

Interpretation: This first-stage regression asks whether macro-financial conditions at graduation shift initial industry choice.

4.4 Long-term industry equation

For person-year outcomes at least 2.5 years after graduation, the paper estimates

$$F_{it} = \alpha\theta_t + X_{it}'\beta + \delta F_i^0 + \varepsilon_{it},$$

where F_{it} indicates working in investment banking in career year t, and F_i^0 indicates initial investment banking placement.

Interpretation: OLS estimates of δ are upward biased if people who start in banking have unobserved finance tastes or ability. The IV strategy instruments F_i^0 using market conditions while in school.

4.5 Instrumental variables

The first stage uses market conditions at graduation to predict initial investment banking placement:

$$F_i^0 = \pi_0 + \pi_1\theta_t + X_i'\pi_2 + u_i.$$

The second stage estimates the effect of predicted initial banking placement on later banking employment:

$$F_{it} = \gamma_0 + \delta\widehat{F_i^0} + X_{it}'\gamma_1 + e_{it}.$$

Instruments include S&P 500 returns, M&A/volatility/volume measures, and Wharton investment banking placement rates.

Interpretation: The exclusion restriction is that stock market conditions while at Stanford affect later Wall Street employment only through the initial job, conditional on controls. This is plausible because the shock occurs after enrollment and before job placement.

4.6 Income-profile and lifetime-income calculation

The paper constructs expected income for a graduate who starts in investment banking as

$$E(W_t^{F0}) = Pr(F_t \mid F_0)W_t^F + [1 - Pr(F_t \mid F_0)]W_t^G,$$

where W_t^F is investment banking income, W_t^G is income in an alternative sector, and $Pr(F_t \mid F_0)$ is the estimated probability of still working in investment banking in career year t given initial banking placement.

Interpretation: This calculation combines the causal job-persistence estimate with observed sector wage profiles. It is not a simple cross-sectional wage gap; it estimates the value of being pushed into banking at career start.

5 Identification strategy

5.1 Why stock market shocks identify initial placement effects

The core identifying shock is stock market performance during the MBA program. The paper argues this shock is plausibly exogenous to individual students because:

- the two-year S&P return is realized after students decide to enroll;
- pre-enrollment S&P returns do not predict banking placement;
- finance recruiting is known to be strongly procyclical;
- the effect appears in independent Wharton placement data as well as Stanford data.

Interpretation: This identifies a demand-side opening in Wall Street recruiting rather than an individual's fixed preference for finance.

5.2 Main threats and responses

- **Selection into MBA timing.** Students might time business school entry based on market conditions. The paper addresses this by showing pre-MBA stock returns have little predictive power for banking placement.
- **Changing composition of banking entrants.** Bull-market entrants might be lower-fit. The paper checks pre-MBA finance experience and class-market interactions in long-term outcomes and finds no evidence of weaker attachment.
- **Direct effect of market conditions on later jobs.** The IV strategy assumes market conditions at graduation affect long-term jobs through the initial job. The persistence evidence and controls support this chain, though the paper recognizes limitations.
- **Measurement error in initial placement.** Career office placement data and retrospective survey placement have high correlation, supporting data quality.
- **Wage calculation limitations.** Wages are survey salary categories and exclude some bonuses or entrepreneurial equity; the author treats lifetime-income calculations as informative but imprecise.

Interpretation: The identification strategy is strongest for the initial placement first stage and career persistence. The lifetime-income estimates are more approximate, but still economically meaningful.

6 Tables and figures

6.1 Table I: MBA Sample Summary Statistics

Read: Table I summarizes the Stanford MBA survey sample. It reports all person-year observations, first jobs, survey-date jobs, and investment banking person-years.

- Investment banking accounts for 14.2% of first jobs and 18.3% of survey-date jobs.
- Investment banking person-years are male-dominated: only 10.4% of investment banking person-years are female.
- Investment bankers are much more likely to report high salary: 31.5% of investment banking person-years report salary above $500,000, compared with 9.0% in all person-years.

Interpretation: The table establishes that investment banking is a high-pay but selected sector within an already elite MBA sample. It also shows that investment banking is not the modal career but is economically important.

Economic message: The high compensation premium creates large potential returns to entering Wall Street, making career timing economically meaningful.

Table I

MBA Sample Summary Statistics

"First Job" is the job the person held in the January after graduating. "Survey Job" is the job held when answering the survey in 1996 or 1998. "I-bank Jobs" is the subset of column 1 person-years where the respondent was employed for an investment bank, a money management firm, or a venture capital firm. "Employees" is the number of employees at the firm where the respondent worked.

	Total	First Job	Survey Job	I-bank Jobs
Female	11.6%	19.3%	19.0%	10.4%
Work in USA	86.1%	83.2%	83.2%	86.6%
Minority	7.3%	12.2%	11.9%	6.8%
Investment Banking	14.5%	14.2%	18.3%	100%
Consulting	10.7%	18.6%	13.6%	0%
High technology	10.6%	10.9%	12.0%	0%
Partner/Owner	24.9%	7.6%	31.4%	33.8%
Founder	11.4%	2.9%	15.9%	13.6%
Employees (median)	1,000	2,000	450	500
Salary > $50,000	77.8%	41.4%	93.4%	89.5%
Salary > $100,000	47.8%	5.6%	71.3%	76.1%
Salary > $500,000	9.0%	0.1%	13.7%	31.5%
Graduation year	1973.5	1980.4	1980.1	1975.5
Age	39.6	29.4	44.4	39.1
Total person/years	62,115	3,782	3,886	8,844

Table I: MBA Sample Summary Statistics

6.2 Figure 1 and Table II: Stock returns during school and initial investment banking placement

Read: Figure 1 plots the fraction of Stanford MBAs going into investment banking against the two-year S&P 500 return. Table II reports regression estimates.

- Figure 1 shows a close visual relationship between stock market conditions and banking placement.
- Table II Panel A reports a positive and significant coefficient on two-year S&P return in the full sample.
- Panel B shows M&A activity and trading volume are positively related to banking placement, while volatility is negatively related.
- Panel C shows that Wharton investment banking placement also predicts Stanford banking placement.

Interpretation: This is the paper's first-stage evidence. It shows that Wall Street labor demand conditions during school move MBA initial career choices.

Economic message: Career choices of elite MBAs respond to macro-financial conditions that students do not control.

The Making of an Investment Banker 2611

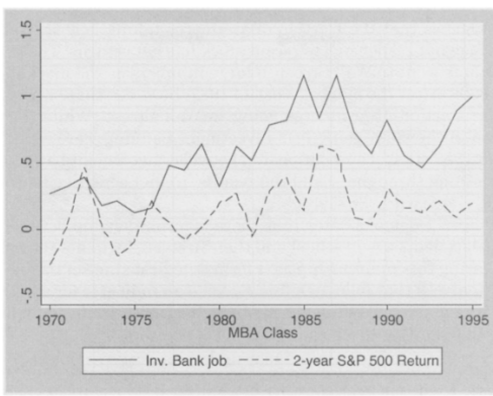
Table II

Initial Placement in Investment Banking

Coefficients are linear probability estimates (OLS), where the dependent variables are indicators for the person being employed in investment banking (including money management and venture capital) as of the January after graduation. Each regression also controls for gender, ethnicity (through indicators for Black, Hispanic, and Asian), year, year squared, and year cubed. "Pre-MBA I-bank" equals one if, before starting MBA studies, the person ever worked in investment banking. Regressions in columns 2 and 5 control for this variable in all panels. S&P return is through June of the year the person graduated. "Log(M&A)" is the log of the real value of M&A transactions involving U.S. firms in the calendar year before the person graduated from Stanford. "2-Year Volatility" is the standard deviation of the daily return on the S&P 500 through June of the year the person graduated. Volume is the percentage change in volume in the calendar year before the person graduated from the prior calendar year. "Wharton I-bank" is the fraction of graduating Wharton MBAs that took jobs in investment banking in the year the Stanford MBA graduated. The M&A and Wharton variables are only available for certain years, so the sample size is smaller. Standard errors (in parentheses) are adjusted for any correlation within graduating class.

	(1)	(2)	(3)	(4)	(5)
			Panel A: S&P 500 Only		
2-year S&P return	0.1034	0.1052	0.0896	0.2063	0.2836
	(0.0345)	(0.0363)	(0.0386)	(0.0692)	(0.1017)
Pre-MBA I-bank		0.3712	Dropped	0.3506	Others
		(0.0254)		(0.0330)	Dropped
Sample (Pre-MBA)	All	All	Non-IB	Finance	IB
R^2	0.0353	0.1236	0.0172	0.1891	0.0567
N (People)	3,547	3,547	3,230	624	317
			Panel B: Other Financial Market Variables		
Log($ M&A)	0.0747	0.0705	0.0527	0.0972	0.1686
	(0.0117)	(0.0123)	(0.0115)	(0.0240)	(0.0401)
2-Year volatility	−0.0690	−0.0797	−0.0780	−0.1479	−0.1168
	(0.0200)	(0.0206)	(0.0187)	(0.0483)	(0.0778)
ΔVolume	0.1111	0.1156	0.1119	0.2176	0.1454
	(0.0288)	(0.0281)	(0.0278)	(0.0819)	(0.1010)
Sample (Pre-MBA)	All	All	Non-IB	Finance	IB
R^2	0.0420	0.1347	0.0265	0.2029	0.0811
N (people)	2,943	2,943	2,637	600	306
			Panel C: Wharton Placement		
Wharton I-bank	0.6319	0.6548	0.5545	0.4925	0.7612
	(0.1826)	(0.1799)	(0.2113)	(0.3320)	(0.4352)
Sample (Pre-MBA)	All	All	Non-IB	Finance	IB
R^2	0.0371	0.1363	0.0231	0.1993	0.0935
N (People)	2,410	2,410	2,119	559	291

The Making of an Investment Banker



1. Stock returns during school and investment banking job placement. S
nk job) is the fraction of the Stanford GSB graduating class that works in in
; in the January after graduation. Dotted line (2-year S&P 500 Return) is the 2-ye
&P 500 through the end of June in the year of graduation.

(a) Figure 1: stock returns and placement.

(b) Table II: initial placement.

6.3 Figure 2 and Table III: Persistence in investment banking careers

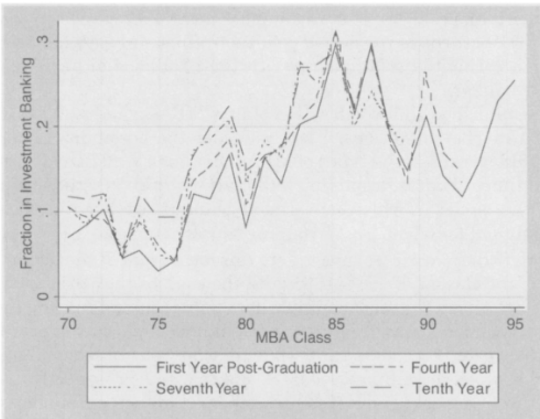
Read: Figure 2 plots the fraction of each Stanford MBA class working in investment banking 1, 4, 7, and 10 years after graduation. Table III estimates OLS relationships between initial investment banking placement and later investment banking employment.

- Figure 2 shows that cohorts with higher initial Wall Street placement continue to have higher Wall Street representation years later.
- Table III shows that initially working in banking is strongly associated with later banking employment: the coefficient is around 0.73.
- The interaction between initial banking and S&P returns while in school is small, suggesting bull-market entrants are not less attached to Wall Street.

Interpretation: The absence of weaker attachment among bull-market entrants is important. If Wall Street jobs in booms merely attracted low-fit people, persistence should be weaker for these entrants. The data do not show that.

Economic message: Initial conditions matter because early finance careers create persistent sector attachment.

ıe entering investment banking in the late 1980s after the crash of
esentation on Wall Street remained low over the entire available sa
le this suggests that an exogenous shock has long-term effects on h
tal investments and careers, I now consider this issue more formally



re 2. Fraction of class in investment banking 1–10 years after MBA. The lines s
on of the Stanford MBA class that graduated in the year on the *x*-axis that works in inv

(a) Figure 2: fraction in investment banking 1–10 years after MBA.

and a half years after the person graduates from Stanford. The dependent variable is one if the person is an investment banker at the time of the observation and zero otherwise. Results are in Table III.

Table III
Industry of Longer-Term Job

All columns are results of linear probability regressions. The dependent variable, which is based on a person's job as of the end of January in a year at least two and a half years after graduation from Stanford GSB, equals one if the person works in investment banking (including money management or venture capital). "Initially I-Bank" equals one if the person was working in investment banking in the January after graduation. "S&P while in school" is the 2-year S&P return used in Panel A of Table II. "I-Bank Pre-MBA" equals one if the person worked in investment banking before studying at Stanford GSB. "Bull" ("bear") market includes graduating classes for which the 2-year average annual return of the S&P 500 was greater (less) than the median. Each regression includes indicator variables for gender, Black, Hispanic, Asian, year of observation, and years since graduation. The regression in column 4 includes the direct effect of "S&P while in school." Standard errors (in parentheses) are adjusted for any correlation within a graduating class.

	(1)	(2)	(3)	(4)
Initially I-Bank	0.7280	0.7352	0.7201	0.7264
	(0.0205)	(0.0285)	(0.0299)	(0.0257)
Initially I-Bank ∗ S&P while in school				0.0181
				(0.0756)
I-Bank Pre-MBA	0.0927	0.10847	0.0769	0.0926
	(0.0266)	(0.0234)	(0.0487)	(0.0268)
State of market at graduation	All Years	Bull	Bear	All Years
N (observations)	50,721	21,531	29,190	50,721
N (people)	3,362	1,794	1,568	3,362

(b) Table III: longer-term job OLS.

6.4 Table IV: Industry of Longer-Term Job, instrumental variables

Read: Table IV estimates the causal effect of initial investment banking placement on later investment banking employment using market instruments.

- Panel A uses S&P returns as the instrument. The all-sample IV coefficient is 0.2796, much smaller than OLS but still economically large.
- The effect is stronger and more precisely estimated among people with pre-MBA finance experience.
- Panel B uses M&A, volatility, and volume instruments and finds larger estimates around 0.74 in the full sample.
- Panel C uses the Wharton placement instrument and finds an estimate around 0.68 in the full sample.

Interpretation: The IV estimates support a causal effect of initial placement. Starting on Wall Street increases the probability of being on Wall Street later because of the start itself, not only because of fixed worker traits.

Economic message: A financial-market shock at graduation creates long-lived human-capital and career-path effects.

6.5 Table V: Founder and consultant outcomes

Read: Table V uses the same IV logic to test whether starting in investment banking changes the likelihood of becoming an entrepreneur or consultant later.

- The entrepreneurship estimates are mixed: market instruments imply little effect, but the Wharton instrument suggests lower entrepreneurship.
- Consulting estimates are more consistently negative, especially using the Wharton instrument.

- The table suggests that additional investment bankers may come partly from the pool of potential consultants and entrepreneurs.

Interpretation: This evidence is suggestive rather than definitive, but it helps interpret the opportunity cost of Wall Street entry. The effect of financial-market booms is not just to shift people into banking; it also shifts them away from other high-skill paths.

Economic message: Wall Street booms can redirect talent across elite sectors of the economy.

The Making of an Investment Banker 2617

Table IV

Industry of Longer-Term Job

All results are based on two-stage least squares linear probability regressions. The dependent variable, which is based on a person's job as of the end of January in a year at least two and a half years after graduation from Stanford GSB, equals one if the person works in investment banking (including money management or venture capital). "Initially I-Bank" equals one if the person was working in investment banking in the January after graduation. The "Non-IB" ("IB") Pre-MBA sample is limited to people who did not (did) work in investment banking before studying at Stanford GSB. The "Finance" Pre-MBA sample is limited to people who worked in investment banking, accounting, commercial banking, insurance, real estate finance, or other financial services before studying at Stanford GSB. The "S&P" instrument for "Initially I-Bank," which is measured as of the time of MBA graduation, is the 2-year S&P return. "Other Market Instruments" include the M&A, Volatility, and Volume measures in Table II. The "Wharton" instrument is the fraction of new Wharton graduates who took investment banking jobs in the year the Stanford MBA graduated. The Wharton and M&A instruments are not available for all classes, so the sample size is smaller. Standard errors (in parentheses) are adjusted for any correlation within a graduating class.

	All	Non-IB	Finance	IB
Panel A: S&P 500 as Instrument				
Initially I-Bank	0.2796	0.0864	0.5031	0.8662
	(0.2695)	(0.3735)	(0.2691)	(0.1671)
Sample (Pre-MBA)	All	Non-IB	Finance	IB
N (observations)	50,721	48,602	5,274	2,119
N (people)	3,362	3,090	555	272
Panel B: Other Market Instruments				
Initially I-Bank	0.7424	0.7645	0.7670	0.5986
	(0.1119)	(0.1126)	(0.1768)	(0.2801)
Sample (Pre-MBA)	All	Non-IB	Finance	IB
N (observations)	31,570	29,751	4,569	1,819
N (people)	2,704	2,443	531	261

2622 *The Journal of Finance*

Table V

Industry of Longer-Term Job

All columns are results of two-stage least squares linear probability regressions. Observations are based on a person's job as of the end of January at least two and a half years after graduation from Stanford GSB. "Initially I-Bank" equals one if the person was working in investment banking (including money management or venture capital) in the January after graduation. "Founder" equals one if the person founded the company where he/she works at the time of the observation. "Consult" equals one if the person works for a management consulting firm. Instruments for "Initially I-Bank" are explained in Table II. Sample sizes are the same as in column 1 of Table IV for each instrument. Standard errors (in parentheses) are adjusted for any correlation within a graduating class.

Dependent Variable	Founder (1)	Founder (2)	Consultant (3)	Consultant (4)
Initially I-Bank	−0.0344	−0.3081	−0.4581	−0.4266
	(0.1113)	(0.1510)	(0.2634)	(0.1635)
Instruments	Market	Wharton	Market	Wharton

6.6 Figure 3 and Table VI: Career wage profiles and income differences

Read: Figure 3 plots wage profiles by job type; Table VI calculates wage and lifetime income differences between starting as an investment banker and alternative careers.

- Investment bankers earn a large premium throughout the first 15 years after graduation.
- Year-1 wage differences range from $71,200 relative to consultants to $114,900 relative to entrepreneurs.
- Year-15 differences range from $578,400 relative to consultants to more than $1 million relative to entrepreneurs.
- Present-value differences over 20 years range from $2.15 million to $5.51 million depending on alternative job and discount rate.

Interpretation: Table VI combines wage profiles with career persistence. The estimates are not simply cross-sectional wage gaps; they estimate the value of being pushed into investment banking by the first-job shock.

Economic message: Initial market timing can move millions of dollars of lifetime labor income across otherwise similar MBA cohorts.

The Making of an Investment Banker 2623

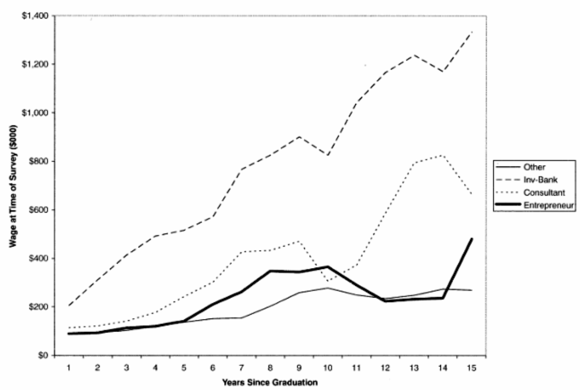


Figure 3. Career wage profiles by type of jobs. The lines show the average wage reported by

(a) Figure 3: career wage profiles.

The Making of an Investment Banker 2625

Table VI

Income Differences between Investment Bankers and Others

All calculations are based on salary averages for sector and years since graduation from the cross-section of 2,598 survey respondents. Investment banker wage estimates are adjusted for the likelihood that they will still be investment bankers at each year after graduation. See text for details.

Alternative Job	(1) Other	(2) Consult	(3) Entrepreneur
Wage difference estimates:			
Year 1 Wage Diff. ($000)	$97.5	$71.2	$114.9
Year 1 Wage Diff. (%)	115.4%	64.3%	170.1%
Year 7 Wage Diff. ($000)	$504.0	$308.1	$321.6
Year 7 Wage Diff. (%)	331.6%	88.6%	96.2%
Year 15 Wage Diff. ($000)	$937.2	$578.4	$1,014.5
Year 15 Wage Diff. (%)	327.4%	89.7%	485.6%
Lifetime income difference estimates (discount rate = 5%):			
10 Year difference ($000)	$2,678	$1,758	$2,356
10 Year difference (%)	216.2%	81.5%	151.1%
20 Year difference ($000)	$5,505	$3,117	$4,804
20 Year difference (%)	216.2%	63.8%	150.2%
Lifetime income difference estimates (discount rate = 10%):			
10 Year difference ($000)	$2,151	$1,447	$1,918
10 Year difference (%)	220.3%	86.1%	158.5%
20 Year difference ($000)	$3,642	$2,153	$3,219
20 Year difference (%)	223.4%	69.1%	156.8%

(b) Table VI: income differences.

7 Interpretive synthesis

- **Shock to first job.** Stock market conditions create variation in initial investment banking placement.
- **Persistence.** Initial investment banking placement changes later industry attachment.
- **No evidence of low-fit bull-market entrants.** The persistence relationship does not weaken during bull markets.
- **Income premium.** Investment banking pays substantially more than consulting, entrepreneurship, or other jobs in the Stanford MBA sample.
- **Mechanism.** The combined evidence is most consistent with finance-specific human capital, networks, search frictions, and compensating differentials rather than pure fixed ability.
- **Broader implication.** Financial markets shape not only asset prices but also the allocation and lifetime earnings of high-skill labor.

8 Short summary

- The paper studies Stanford MBA alumni and asks whether investment bankers are made by market conditions or born with finance-specific traits.
- Stock returns while students are in school predict whether they start in investment banking.
- Initial investment banking placement predicts later banking employment for at least a decade.
- IV estimates using market conditions show that initial placement has a causal effect on later Wall Street employment.
- Bull-market entrants are not less attached to Wall Street later, which weakens the pure selection story.
- Investment bankers earn a large wage premium, and initial placement can generate millions in lifetime income differences.
- The incremental contribution is to connect financial-market shocks, initial career choice, career persistence, and lifetime income in one research design.

9 Conclusion

9.1 Core conclusion

Oyer shows that market conditions during business school affect initial investment banking placement and that initial placement affects later Wall Street employment and income. The evidence suggests that investment bankers are substantially made by circumstance.

9.2 Economic intuition

Bull markets raise Wall Street demand and expected pay, pulling marginal MBAs into investment banking. Once there, they develop finance-specific capital, networks, and career attachment. Because investment banking pays a large premium, temporary market shocks have persistent labor-income effects.

9.3 Incremental contribution in one sentence

The paper's distinctive contribution is to show that stock market shocks affect not only investors' portfolio wealth but also high-skill workers' lifetime labor income by changing their initial industry assignment.

9.4 Limitations

- The main data come from Stanford MBAs, so external validity to other workers or schools is uncertain.
- Wage profiles are based on survey salary categories and likely miss some bonuses and entrepreneurial equity.
- The instrument is strongest for initial placement; lifetime-income estimates require additional wage-profile assumptions.
- The paper cannot fully distinguish finance skills, networks, switching costs, and lifestyle adaptation as sources of career stickiness.

9.5 Final takeaway

Initial conditions in elite labor markets matter. A financial boom during an MBA program can change not only a student's first job but also the person's industry, human capital, and lifetime income for many years.